US-India reach a trade agreement (Quick Takeaways)

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US-India reach a trade agreement (Quick Takeaways)

US-India have reached a trade agreement. While the deal text is not yet available, the media reports suggest

- US would lower reciprocal tariffs on India's exports from 25% to 18%. In addition, as India has agreed to stop importing Russian crude oil, the punitive tariff of 25% on India also goes away. **Effectively tariffs on Indian goods have been slashed from 50% to 18%.** With this, the tariff rate on Indian goods is now more in line with tariffs imposed on other countries.
- India, meanwhile, has agreed to not only stop buying Russian crude **but also agreed to lower tariffs and non-tariff barriers on US imports to zero%**. It is also claimed that India has agreed to buy American goods up to USD500bn in the field of energy, technology and agriculture. This clearly looks exaggerated as India's imports of US goods in 2025 stand at USD45bn only**.**

Sectors/Areas where India stands to benefit

- **Labour-intensive sectors such as textiles, gems/jewellery clearly stand to benefit**. It is these segments which bore the maximum brunt of Trump 50% tariffs (pharma, electronics etc were largely exempted from Trump tariffs). In fact these labour-intensive segments were also the beneficiary of EU-India FTA, wherein, the EU agreed to lower tariffs on India labour intensive exports. This is boost not just to exports but also to employment generation in India.

- In addition, **chemicals, cables, new energy** areas also start to benefit

India's exports to US (FY25)			
Goods name	Exports (USDbn)	Share in total goods exports (%)	Current tariff rate
Electronics	15	3.4	0%
Pharma	11	2.5	0%
Textiles	25	5.7	50%
Gems/Jewellery	10	2.3	50%
Machinery	8	1.8	25%~50%
Agriculture	6	1.4	50%

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Source: CMIE, Bloomberg, WTO

Sectors/Areas where India may be impacted

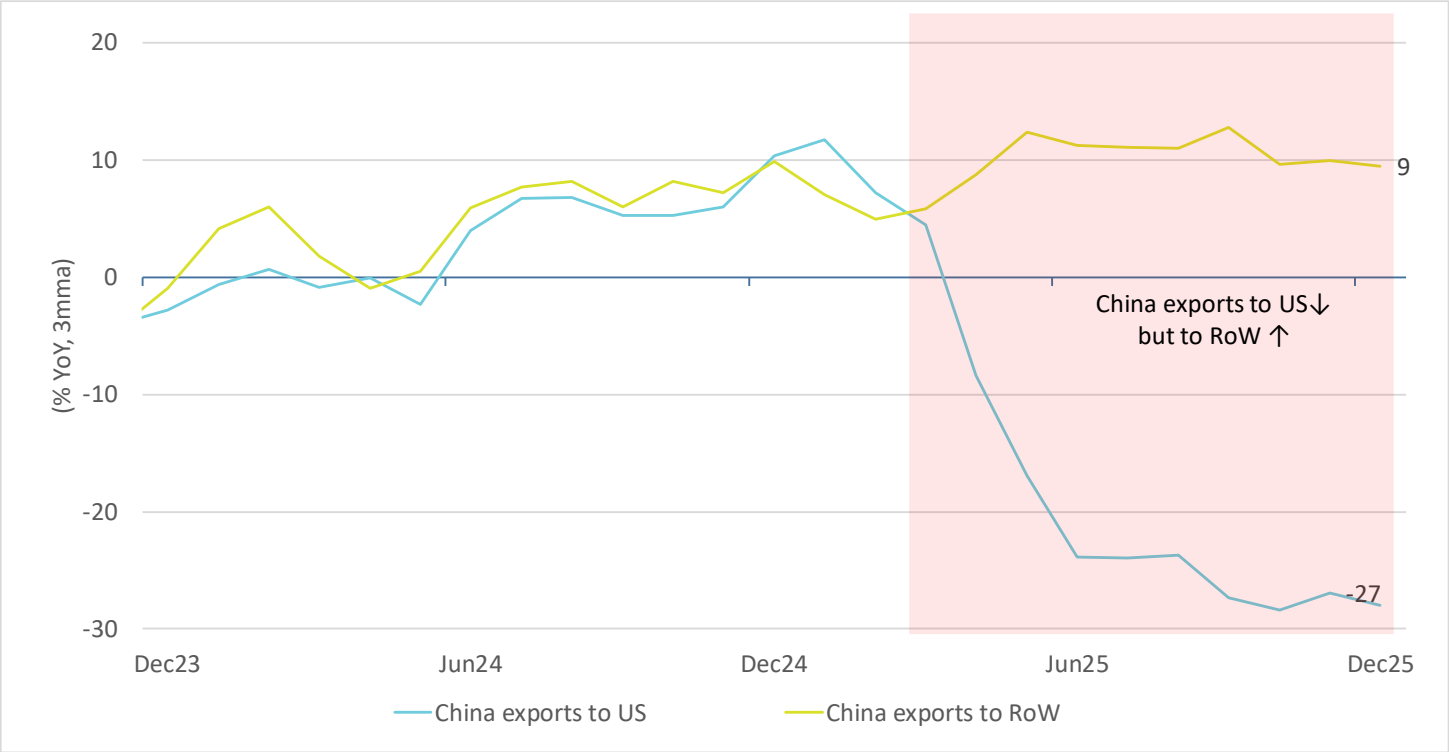
- As of now, India's tariffs on imports from US stand at 12% (average) with agriculture being tariffed the most at 35-40%.
- **If agriculture tariffs are reduced significantly**, it is one area where cheap imports can come especially when India has agreed to lower tariffs on agriculture imports from EU as well under EU-India FTA. This will be **positive from Indian consumer standpoint but negative for farm incomes**.

India's imports from US (FY25)		
Goods category	**Imports (USDbn)**	**Current weighted average tariff rate**
Agriculture products	2	~35-40%
Chemicals	4	~9-10%
Transport equipment	3	~20-22%
Metals and minerals	6	~9-10%
Petroleum	10	~4%
Electronics	6	~8-11%
Total imports from USA	**45**	**~12%**

Source: CMIE, Bloomberg, WTO

The Big picture impact: Watch out the narrowing of US trade deficit

China is finding other markets to sell goods



- The bigger implication of the US tariffs could be the shrinking of US trade deficit, especially amid weaker USD and higher rates. This shall impart a deflationary impulse to the global economy, hurting trade, growth and earnings everywhere, including India. Early signs of the same are visible.

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Source: Bloomberg , Nuvama research;

Markets: Significantly sentimentally positive

BoP Impact: Positive for capital flows, currency and systemic liquidity:

- **The trade deal will work to enhance capital flows to India,** thus improving India's balance of payments. Expect INR to appreciate, which has been underperforming EM FX for more than a year now. This will also help improve domestic liquidity conditions.

Markets: Significantly sentimentally positive; could trigger return of FII flows

- From overall market standpoint, given the large underperformance of India, undervalued FX, FII flows could come back and be a significant boost to markets in the near term.
- **Direct beneficiaries:** Cables and wires, new energy, Chemicals
- **Indirect plays:** Rate sensitives (Real Estate, NBFCs) and high FII holding stocks (Private banks)

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